Sales Forecasting & Demand Intelligence System

Executive Summary

Prepared by: Varad Khatavkar

Internship: XYlofy AI – Week 3 & Week 4 Project

1. Executive Overview

The **Sales Forecasting & Demand Intelligence System** is designed to tackle one of retail's most pressing challenges: aligning inventory with unpredictable consumer demand. In today's fast-moving markets, customer preferences shift rapidly across geographies and product lines. This project establishes a framework that converts historical transaction records into actionable insights. By combining statistical models with machine learning, the system delivers both broad trend analysis for executives and fine-grained demand signals for supply chain teams, ensuring decisions are proactive rather than reactive.

2. Strategic Problem Statement

Retailers and e-commerce platforms operate with little tolerance for error in stock management. Overstocking ties up capital in unsold goods and inflates storage costs, while understocking leads to missed sales and weakened customer trust. This initiative addresses the complex challenge of predicting monthly sales volumes to minimize these risks. Without intelligent forecasting, businesses rely on short-term fixes that overlook seasonal cycles and time-series dependencies, leaving them vulnerable to costly missteps.

3. Analytical Methodology

The project followed a disciplined pipeline to guarantee reliable outputs. Four years of daily sales data were aggregated into weekly and monthly views to uncover hidden structures. Using **time-series decomposition**, long-term growth trends were separated from seasonal fluctuations and random noise, clarifying the true demand signal.

To maximize accuracy, multiple forecasting approaches were tested:

- **SARIMA** captured recurring seasonal cycles and persistent trends.
- **Prophet** incorporated holidays and confidence intervals, making forecasts resilient to anomalies.

- **XGBoost** leveraged engineered features (e.g., quarter, weekday effects) to detect non-linear relationships.

This ensemble strategy ensured forecasts were validated across diverse mathematical perspectives.

4. Demand Intelligence & Operational Impact

The system extends beyond forecasting by embedding **demand intelligence** features. Anomaly detection using **Isolation Forest** and **Z-Score** highlights unusual sales activity—whether caused by promotions, supply chain issues, or data errors—providing managers with real-time alerts.

Additionally, **K-Means clustering** segments products by demand behavior rather than category labels. Stable products can be auto-replenished, while volatile items receive closer oversight. This segmentation enables smarter resource allocation, balancing service levels with cost efficiency.

5. Business Outcomes

The project's key deliverable is an interactive **Streamlit dashboard** that makes advanced analytics accessible to non-technical stakeholders. With five modules—Home, Sales Overview, Forecast Explorer, Anomaly Report, and Demand Segments—the dashboard empowers teams to move seamlessly between strategic overviews and detailed insights. By consolidating anomalies, forecasts, and product clusters into one platform, it ensures procurement, marketing, and operations share a unified, data-driven perspective, accelerating decision-making and improving alignment across departments.

6. Conclusion

By integrating SARIMA, Prophet, and XGBoost, the system demonstrates the complementary strengths of statistical, additive, and machine learning models in retail forecasting. It bridges the gap between past sales data and future readiness, offering a scalable solution adaptable to diverse retail contexts. Future enhancements include real-time POS integration, deep learning architectures, and automated cloud deployment. Ultimately, this project highlights how demand intelligence can transform retail operations into resilient, efficient, and insight-driven enterprises.